ASYMMETRIC BET EVALUATION WORKSHEET

The 5-Question Framework for High-Risk, High-Reward Investments

Use this framework to evaluate any asymmetric opportunity before investing. If you cannot answer YES to all 5 questions, do not invest.

Investment/Opportunity Name: _____

Amount Considering: $_____

Date: _____

QUESTION 1: Do I understand the fundamental value proposition?

Can you explain in simple terms WHY this should increase in value? If you cannot explain it simply, you do not understand it well enough to invest.

My explanation (explain like talking to a 12-year-old):

_____

_____

_____

_____

Can I explain this in 2-3 clear sentences? [ ] Yes [ ] No

PASS if: You can clearly explain the value proposition without using buzzwords or jargon

FAIL if: You are relying on hype, cannot explain it, or are just hoping it goes up

SCORE: [ ] PASS [ ] FAIL

QUESTION 2: Is it early enough that most people have not noticed?

Where is this in the adoption cycle? (Check one)

[ ] Almost nobody has heard of it (EARLY - Good sign)

[ ] Tech/niche communities know about it (EARLY - Good sign)

[ ] Mainstream media is starting to cover it (GETTING LATE - Caution)

[ ] Everyone is talking about it (TOO LATE - Red flag)

[ ] Your relatives are asking how to invest in it (WAY TOO LATE - Run)

Am I early enough to capture significant upside? [ ] Yes [ ] No

PASS if: You are in the first two categories

FAIL if: Mainstream adoption has already happened or FOMO is driving your decision

SCORE: [ ] PASS [ ] FAIL

QUESTION 3: Can I afford to lose this investment completely?

Calculate your risk tolerance:

My current net worth: $_____

Investment amount: $_____

Percentage of net worth: _____%

RULE: Investment should be 2-5% of net worth MAXIMUM

Is this investment 5% or less of my net worth? [ ] Yes [ ] No

If this goes to zero, will I be financially okay? [ ] Yes [ ] No

Required safeguards (must have ALL four):

[ ] Emergency fund (6+ months expenses)

[ ] Zero high-interest debt

[ ] Regular investing in index funds already happening

[ ] Housing cost below 15% of income

PASS if: Investment is 5% or less of net worth AND you have all 4 safeguards

FAIL if: Investment is greater than 5% OR you are missing any safeguard

SCORE: [ ] PASS [ ] FAIL

QUESTION 4: Is the potential upside 10x or more?

Asymmetric bets need massive upside to justify the risk.

Current price/value: $_____

Realistic best-case price in 5-10 years: $_____

Potential multiple: _____x

What would need to happen for this to 10x?

_____

_____

Is there a realistic path to 10x+ returns? [ ] Yes [ ] No

PASS if: Realistic path to 10x or more exists

FAIL if: Upside is capped at 2-3x or requires everything to go perfectly

SCORE: [ ] PASS [ ] FAIL

QUESTION 5: Can I hold for 5-10 years without needing the money?

Asymmetric bets require patience and the ability to hold through volatility.

Ask yourself honestly:

[ ] Do I need this money in the next 5 years for anything?

[ ] Can I emotionally handle a 50-80% drop without panic selling?

[ ] Am I investing with extra money, not money I need?

[ ] Can I ignore this investment for years without checking it constantly?

PASS if: You answered NO to first question and YES to the other three

FAIL if: You need the money soon or cannot handle volatility

SCORE: [ ] PASS [ ] FAIL

FINAL DECISION

Did you answer PASS to ALL 5 questions?

[ ] ALL 5 PASS: This opportunity passes the framework. Consider investing your predetermined percentage (2-5% of net worth).

[ ] ANY FAIL: Do not invest. Wait for a better opportunity that passes all 5 questions.

Remember: Real asymmetric opportunities are rare. You might only see 2-3 per decade. That is normal. Be patient.

REAL EXAMPLES: How This Framework Works

PASS EXAMPLE: Sam Bitcoin Decision (May 2011)

Q1: YES - Understood digital scarcity, limited supply, peer-to-peer transactions

Q2: YES - Almost nobody had heard of it, media called it a scam

Q3: YES - $500 was 0.54% of $93K net worth, had emergency fund, zero debt

Q4: YES - Could go from $1.50 to $150+ if technology worked (100x potential)

Q5: YES - Did not need the money, could hold indefinitely

Result: $500 to $8 million

FAIL EXAMPLE: Rich Horse Investment (May 2011)

Q1: NO - Could not explain why horses should appreciate beyond people pay a lot

Q2: NO - Gypsy Vanners were already popular and expensive

Q3: NO - $14K was 28% of net worth, had debt, no emergency fund

Q4: NO - Best case was 2x return, not 10x+

Q5: NO - Needed income within 2-3 years to cover ongoing costs

Result: Lost $23,500

GOLDEN RULES FOR ASYMMETRIC BETS

1. Never invest more than 5% of your net worth in a single asymmetric bet
2. Never invest money you will need in the next 5 years
3. Never invest based on FOMO (fear of missing out)
4. Always take profits on the way up (sell 10-20% at major milestones)
5. Keep total asymmetric bets under 20% of your net worth combined

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